

3-3b Prepaid Expenses

The December 31, 20Y3, unadjusted trial balance of **NetSolutions** indicates a balance in the supplies account of \$2,000. In addition, the prepaid insurance account has a balance of \$2,400. Each of these accounts requires an adjusting entry.

Supplies

The balance in NetSolutions’ supplies account on December 31 is \$2,000. Some of these supplies (paper, envelopes, etc.) were used during December, and some are still on hand (not used). If either amount is known, the other can be determined. It is normally easier to determine the cost of the supplies on hand at the end of the month than to record daily supplies used.

Assuming that on December 31 the amount of supplies on hand is \$760, the amount to be transferred from the asset account to the expense account is \$1,240, computed as follows:

Supplies available during December (balance of account)	\$ 2,000
Supplies on hand, December 31	(760)
Supplies used (amount of adjustment)	<u>\$ 1,240</u>

At the end of December, the supplies expense account is increased (debited) for \$1,240, and the supplies account is decreased (credited) for \$1,240 to record the supplies used during December. The adjusting journal entry and T accounts for Supplies and Supplies Expense are as follows:

Adjusting Journal Entry

Journal		Page 5		
Date	Description	Post. Ref.	Debit	Credit
20Y3				
Dec. 31	Supplies Expense	52	1,240	
	Supplies	14		1,240
	Supplies used (\$2,000 – \$760).			

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Expense)	
Supplies					Supplies Expense	
Bal.	2,000				Bal.	800
Dec. 31	1,240					52

Accounting Equation Impact

Assets				=	Liabilities	+	Stockholders' Equity (Expense)			
Prepaid Insurance					Insurance Expense					
Bal.	2,400	Dec. 31	200				Dec. 31	200		
Adj. Bal.	2,200									

After the adjusting entry is recorded and posted, the prepaid insurance account has a debit balance of \$2,200. This balance is an asset that will become an expense in future periods. The insurance expense account has a debit balance of \$200, which is an expense of the current period.

If the preceding adjustments for supplies (\$1,240) and insurance (\$200) are not recorded, the financial statements prepared as of December 31 will be misstated. On the income statement, Supplies Expense and Insurance Expense will be understated by a total of \$1,440 (\$1,240 + \$200), and net income will be overstated by \$1,440. On the balance sheet, Supplies and Prepaid Insurance will be overstated by a total of \$1,440. Because net income increases retained earnings, stockholders' equity will also be overstated by \$1,440 on the balance sheet. The effects of omitting these adjusting entries on the income statement and balance sheet are as follows:

	Amount of Misstatement
Income Statement	
Revenues correctly stated	\$ XXX
Expenses understated by	(1,440)
Net Income overstated by	<u>\$1,440</u>
Balance Sheet	
Assets overstated by	<u>\$1,440</u>
Liabilities correctly stated	\$ XXX
Stockholders' equity overstated by	<u>1,440</u>
Total liabilities and stockholders' equity overstated by	<u>\$1,440</u>

Ethics in Action

Free Issue

Office supplies are often available to employees on a "free issue" basis. This means that employees do not have to "sign" for the release of office supplies but merely obtain the necessary supplies from a local storage area as needed. Just because supplies are easily available, however, doesn't mean they can be taken for personal use. There are many instances where employees have been terminated for taking supplies home for personal use.

Payments for prepaid expenses are sometimes made at the beginning of the period in which they will be *entirely used or consumed*. To illustrate, the following December 1

transaction of NetSolutions is used:

Dec. 1 NetSolutions paid rent of \$800 for the month.

On December 1, the rent payment of \$800 represents Prepaid Rent. However, the Prepaid Rent expires daily, and at the end of December there will be no asset left. In such cases, the payment of \$800 is recorded as Rent Expense rather than as Prepaid Rent. In this way, no adjusting entry is needed at the end of the period.

Check up Corner 3-2

Adjusting Entries for Deferrals

Selected unadjusted account balances for Atlanta Rhythm Company on December 31 are as follows:

	Debit Balances	Credit Balances
Supplies	\$ 2,700	
Prepaid Insurance	12,000	
Unearned Fees		\$44,900

The following adjustment data were accumulated on December 31:

- Supplies on hand at December 31, \$1,100.
- Insurance premiums expired during the year, \$10,000.
- Unearned fees on December 31, \$15,600.

Journalize the adjusting entries necessary on December 31.